

NASDAQ **AMZN**
AMAZON.COM INC
INTERNET & DIRECT MARKETING RETAIL INDUSTRY

 OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**

OUR EVALUATION OF AMZN

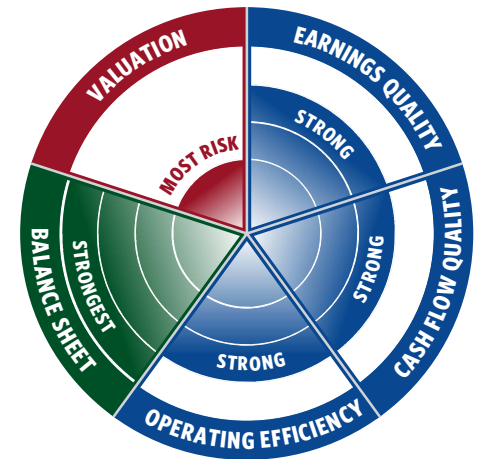
AMAZON.COM INC is showing strong Balance Sheet Quality, Earnings Quality, Cash Flow Quality and Operating Efficiency, but Valuation suggests a higher amount of price risk. When combined, AMZN deserves a HOLD rating.

The Earnings Quality rating improved the most during the most recent quarter. Though this dimension and all of the others were either stronger or unchanged at worst, it was not sufficient to raise the overall rating.

HISTORICAL RATINGS

	Q2 2017	Q3 2017	Q4 2017	Q1 2018
OVERALL RATING	HOLD	SELL	HOLD	HOLD
EARNINGS QUALITY	STRONG	WEAK	WEAK	STRONG
CASH FLOW QUALITY	STRONG	STRONG	STRONG	STRONG
OPERATING EFFICIENCY	STRONG	WEAK	STRONG	STRONG
BALANCE SHEET	STRONGEST	STRONGEST	STRONGEST	STRONGEST
VALUATION	MOST RISK	MOST RISK	MOST RISK	MOST RISK

FINANCIAL SONAR™ FOR AMZN 1ST QUARTER 2018

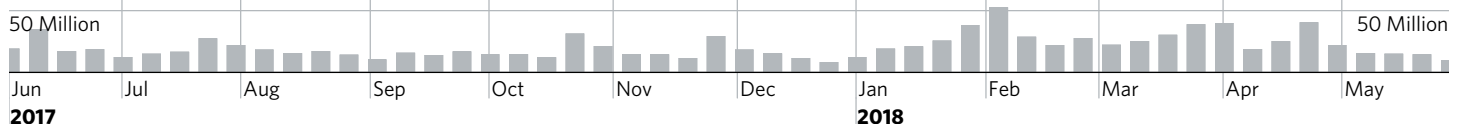


PRICE TRENDS AND VALUATION

Price (AS OF 05/30/18)	\$1,624.90	MARKET CAP.	\$788.4 BILLION	PRICE/SALES	3.9
PRICE/EARNINGS	362.7	PRICE/EARNINGS GROWTH	8.5	PRICE/CASH FLOW	45.6
PRICE/ADJUSTED EARNINGS	214.4	PRICE/ADJUSTED EARNINGS GROWTH	499.7	PRICE/ADJUSTED CASH FLOW	61.9



Average Weekly Volume



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EARNINGS QUALITY: STRONG

Earnings quality has long been analyzed and used by investors as a measure of the fundamental quality of the company and its future prospects. Companies may be including certain items that increase reported earnings and often the amount of cash flow supporting the earnings may be weak. Jefferson adjusts for these kinds of items and other anomalies to produce an adjusted earnings number that more accurately reflects ongoing business fundamentals at AMAZON.COM INC. Reported earnings are compared to the Jefferson adjusted earnings as a means to gauge earnings quality. Also measured is the amount of cash flow that underpins earnings.

The earnings quality for AMZN improved from WEAK to STRONG.

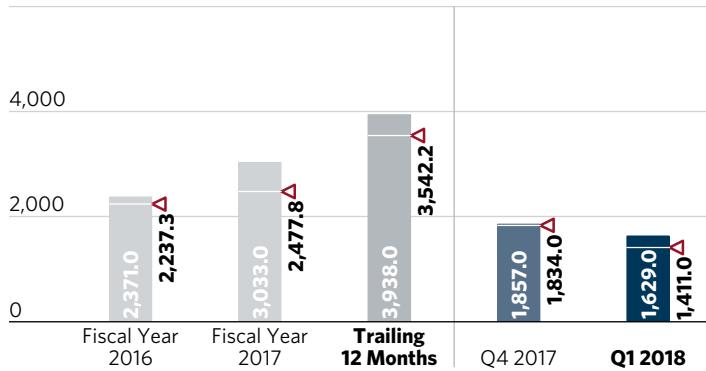
The reported net income dropped to \$1,629M from \$1,857M in the previous quarter, and the quality of that reported net income also declined. In addition, operating cash flow decreased during the last quarter to -\$1,791M from \$12,344M.

NET INCOME VS. ADJUSTED NET INCOME \$ IN MILLIONS

△ Adjusted Net Income

Adjusted Net Income as a Percentage of Net Income

94.4% 81.7% 89.9% 98.8% 86.6%

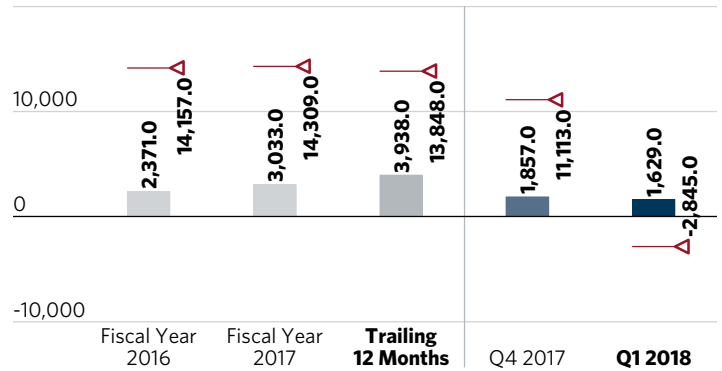


EARNINGS VS. OPERATING CASH FLOW \$ IN MILLIONS

△ Reported Operating Cash Flow

Operating Cash Flow as a Percentage of Earnings

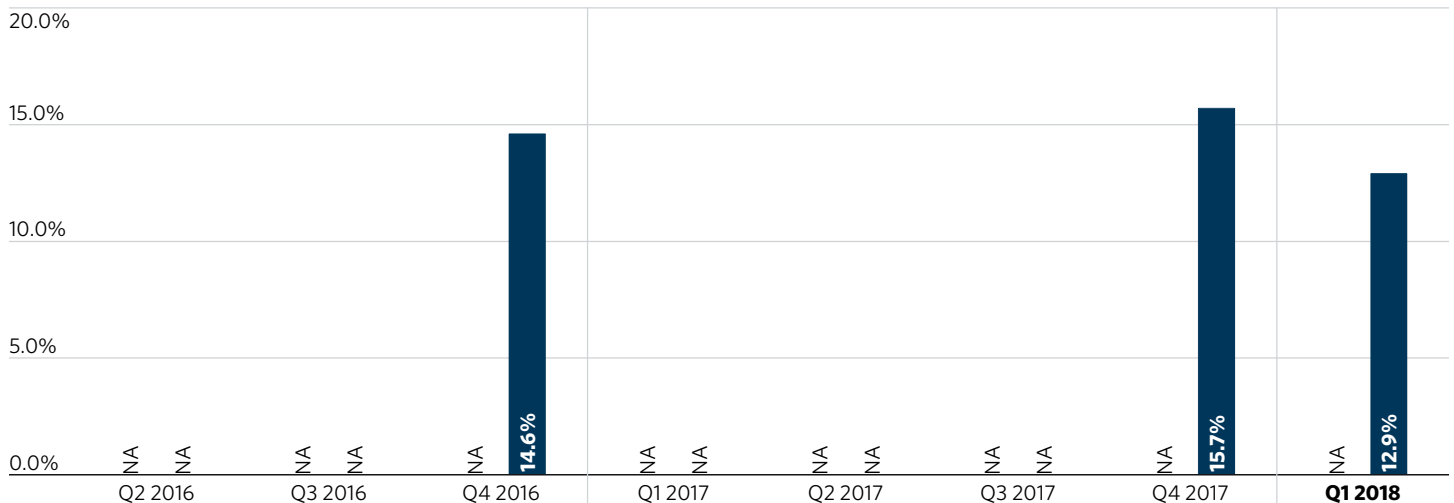
693.5% 607.8% 463.0% 664.7% -109.9%



ACCRUALS

% OF SALES

■ Actual Accruals ■ Forcasted Accruals



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CASH FLOW QUALITY: STRONG

Cash flow is considered by many investors to be the ultimate measure of company performance and more reliable than reported earnings. The Jefferson measurement eliminates items that are not part of recurring cash flow or the result of actual operations for AMAZON.COM INC. These adjustments to cash flow provide a truer measure of cash flow and the resultant cash flow quality rating.

The cash flow quality rating for AMZN remains STRONG. Meanwhile the operating cash flow quality year over year and debt coverage quality quarter over quarter weakened.

Even though the quarterly operating cash flow quality improved with a reported number of -\$1,791M and an adjusted number that was \$1,054M less than reported, the decline in the annual operating cash flow quality offset this with a reported number of \$18,434M and an adjusted number that was \$4,125M less than reported. This represents deterioration from the previous period when the reported number was closer to the adjusted number.

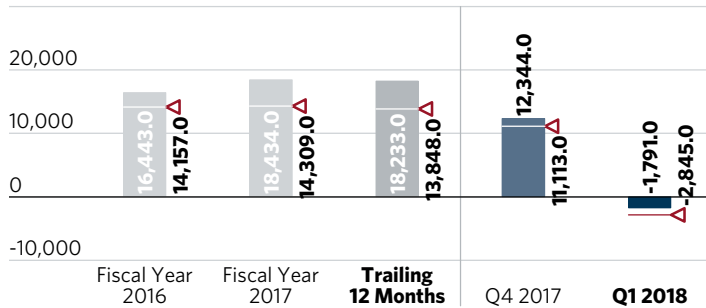
OPERATING CASH FLOW

\$ IN MILLIONS

▲ Adjusted Operating Cash Flow

Adjusted Operating Cash Flow as a Percentage of Operating Cash Flow

86.1% 77.6% 76.0% 90.0% 63.0%



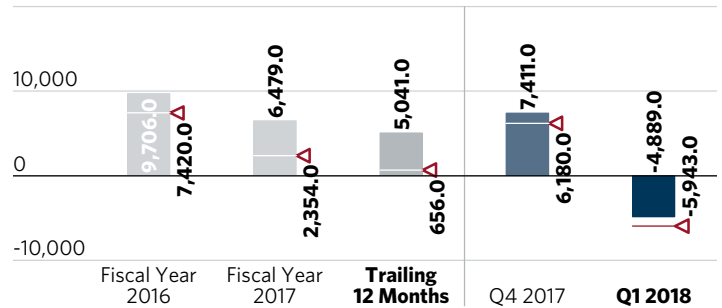
FREE CASH FLOW

\$ IN MILLIONS

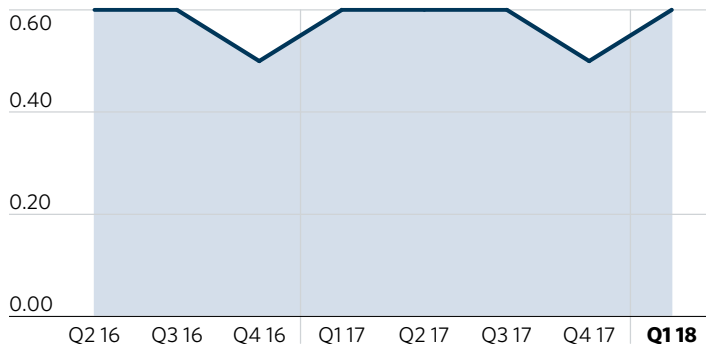
▲ Adjusted Free Cash Flow

Adjusted Free Cash Flow as a Percentage of Free Cash Flow

76.4% 36.3% 13.0% 83.4% 82.3%

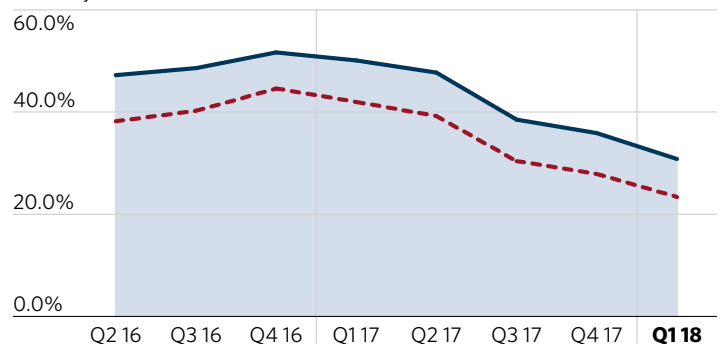


FLOW RATIO



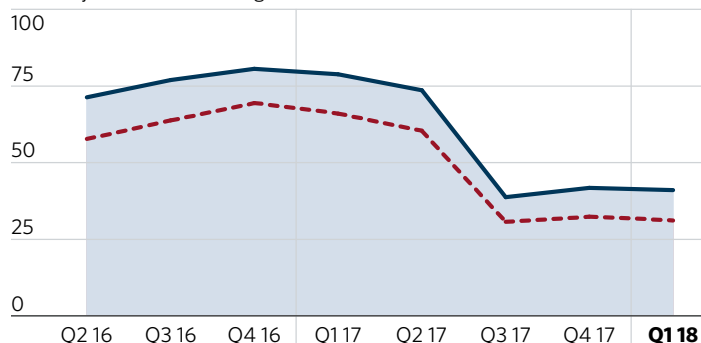
CASH FLOW ROI

--- Adjusted Cash Flow ROI



DEBT COVERAGE

--- Adjusted Debt Coverage



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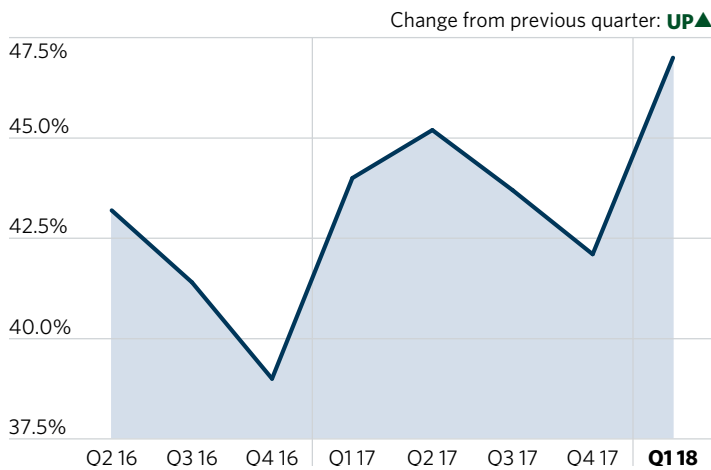
OPERATING EFFICIENCY: **STRONG**

The ability of AMAZON.COM INC to earn a profit is in part the result of how rapidly it converts its collection of assets into revenues and the resulting earnings and cash flow margins available. Operating Efficiency is measured by a combination of factors including: return on invested capital (ROIC), gross margin, EBIT margin, asset turnover, equity turnover, and lastly Staff, General, and Administrative costs as a percentage of sales (SGA).

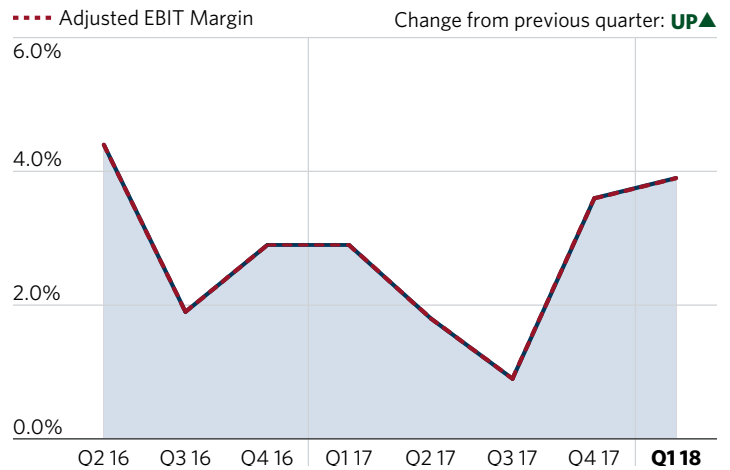
The operating efficiency rating for AMZN remains **STRONG** as the gross margin, ROIC, EBIT margin, and net margin strengthened over the last quarter, while at the same time the return on incremental investment capital, SGA costs and equity turnover weakened.

Even though the gross margin improved from 42.1% to 47.0%,

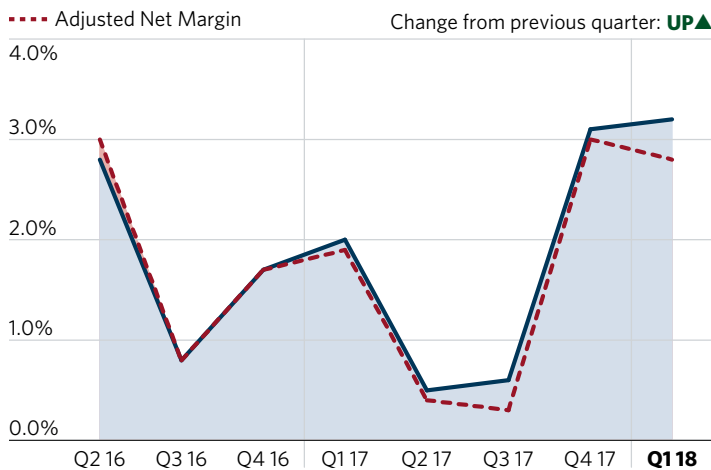
GROSS MARGIN



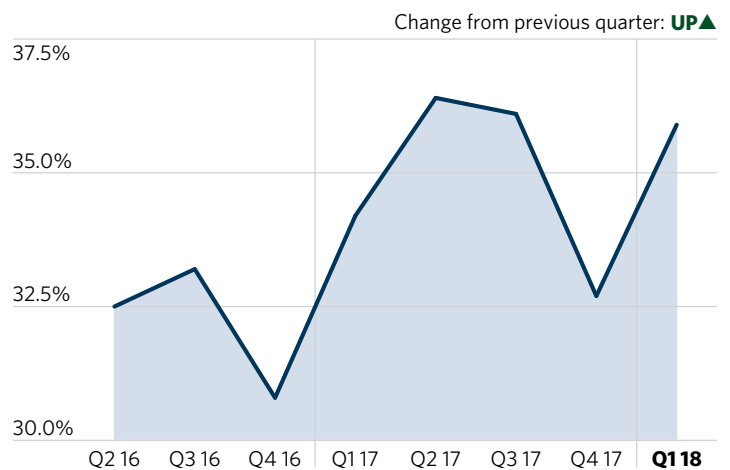
EBIT MARGIN



NET MARGIN



SG&A AS A PERCENTAGE OF SALES



NASDAQ **AMZN**

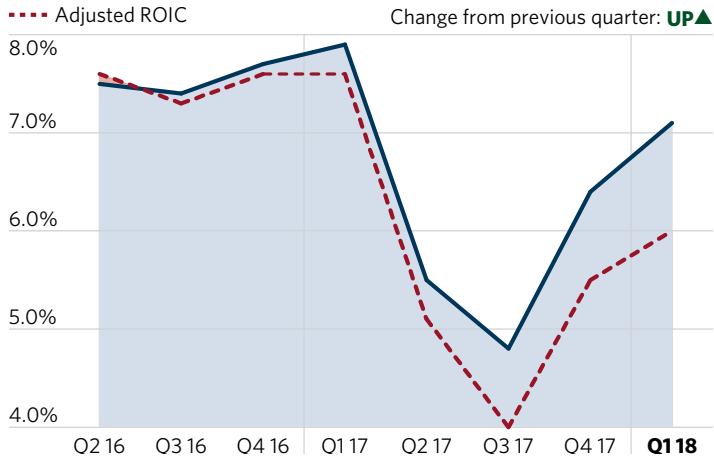
AMAZON.COM INC

INTERNET & DIRECT MARKETING RETAIL INDUSTRY

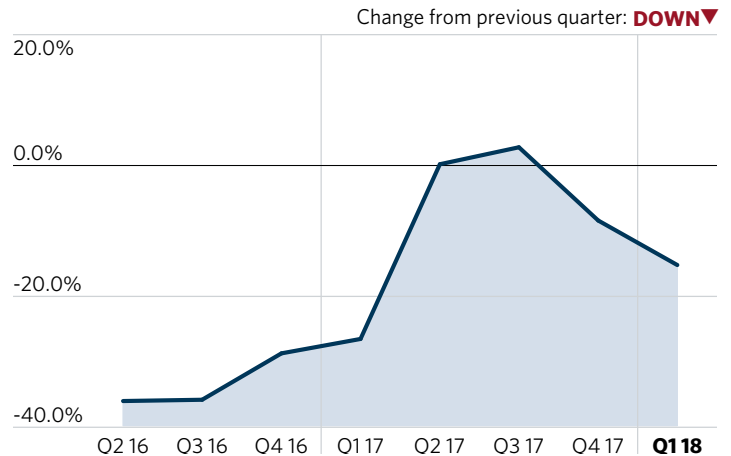
OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**

OPERATING EFFICIENCY: **STRONG**

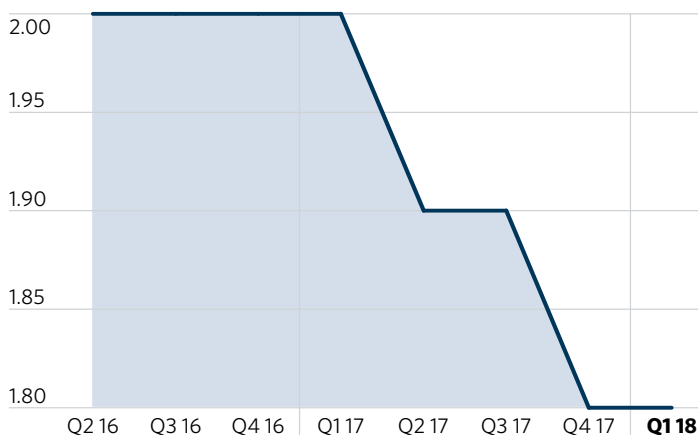
ROIC



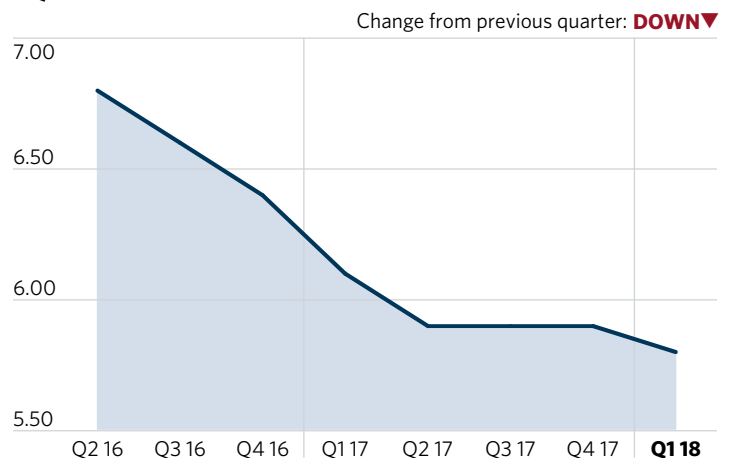
RETURN ON INCREMENTAL INVESTED CAPITAL



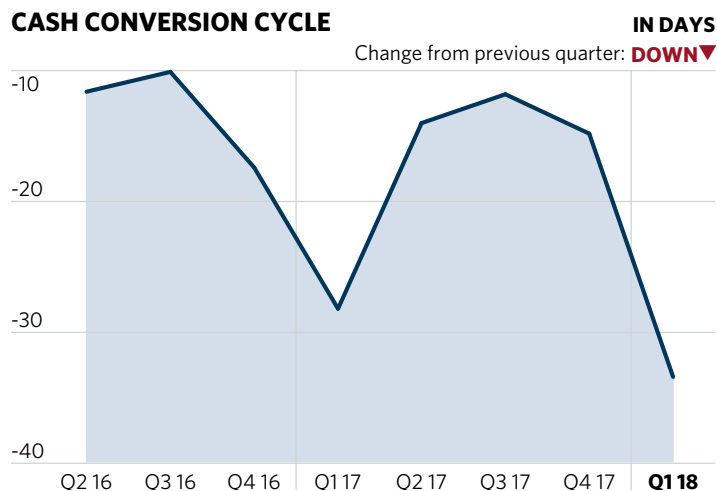
ASSET TURNOVER



EQUITY TURNOVER



CASH CONVERSION CYCLE



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OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**

BALANCE SHEET QUALITY: **STRONGEST**

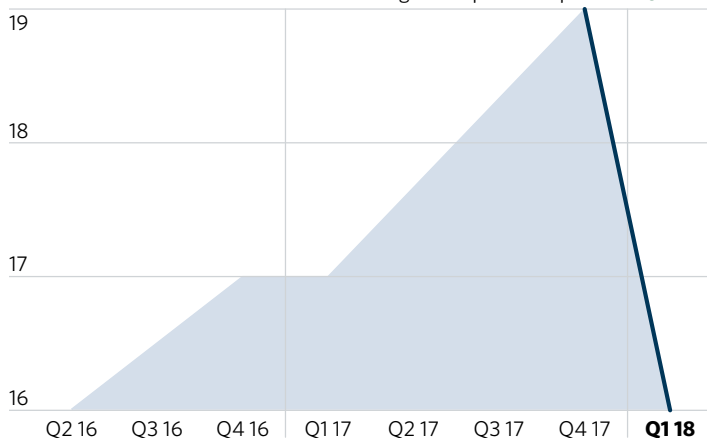
The balance sheet shows the ability of AMAZON.COM INC to pay its bills and fund future growth. It also provides clues to aggressive accounting since reported earnings that do not generate cash flow generally end up somewhere on the balance sheet. The following are analyzed in determining balance sheet quality: quick ratio, current ratio, cash position, accounts receivable days sales outstanding (AR DSOs), and number of days inventory is held prior to sale to customers (Inv Days).

The balance sheet rating for AMZN remains **STRONGEST** as the Inv Days, AR DSOs, debt/equity, and current ratio strengthened over the last quarter while the cash position and debt/assets weakened.

Even though the Inv Days improved from 57 to 46 days, the decline in cash offset this by falling from \$32,315M to \$25,898M. The lower amount of cash on hand indicates that AMZN will have a harder time meeting financial obligations.

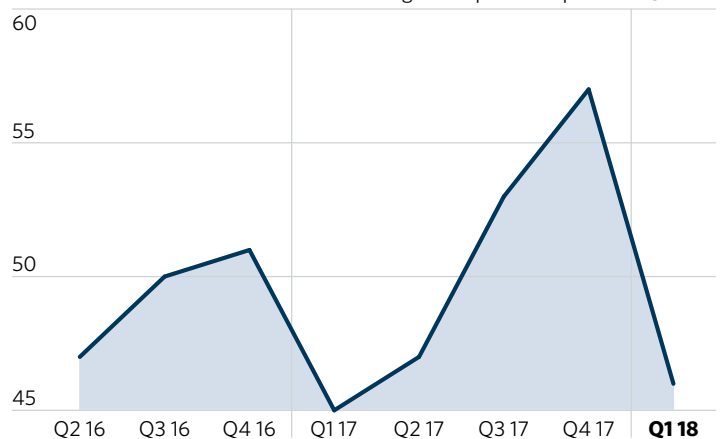
RECEIVABLES DAYS OUT

Change from previous quarter: **DOWN▼**



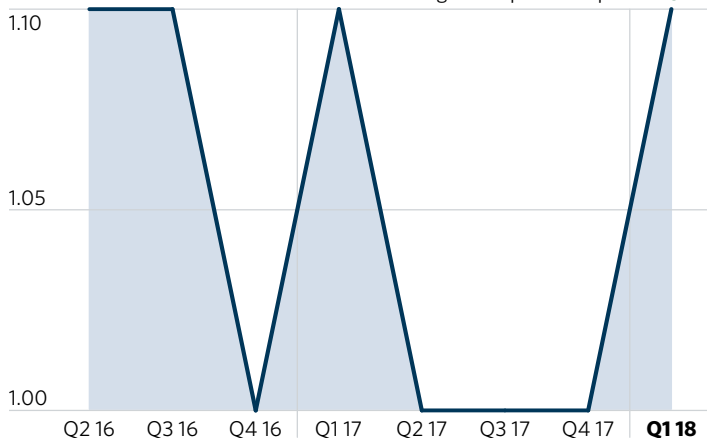
INVENTORY DAYS OUT

Change from previous quarter: **DOWN▼**

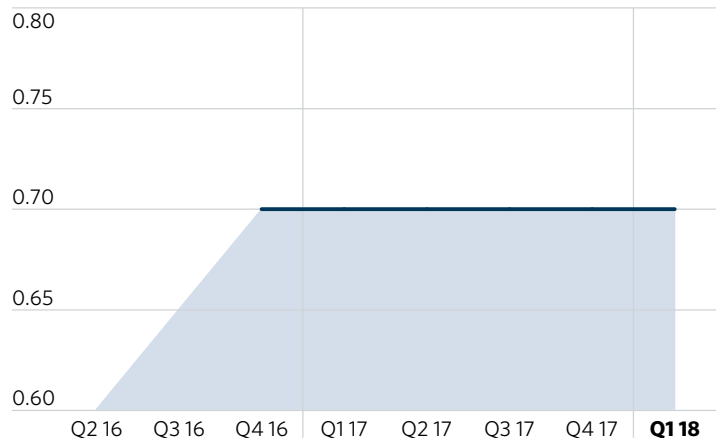


CURRENT RATIO

Change from previous quarter: **UP▲**



QUICK RATIO



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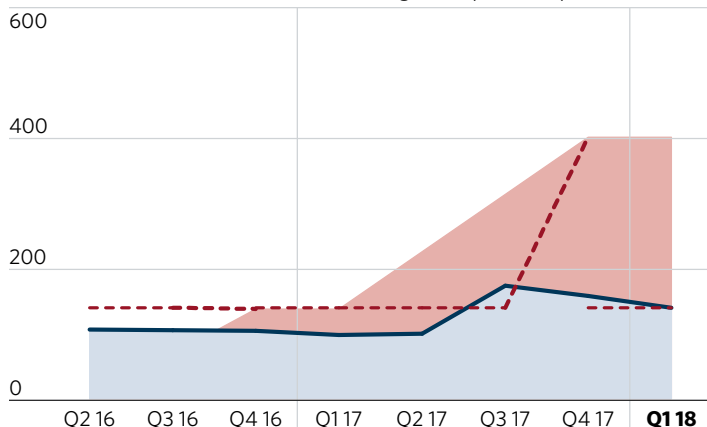
INTERNET & DIRECT MARKETING RETAIL INDUSTRY

OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**

BALANCE SHEET QUALITY: **STRONGEST**

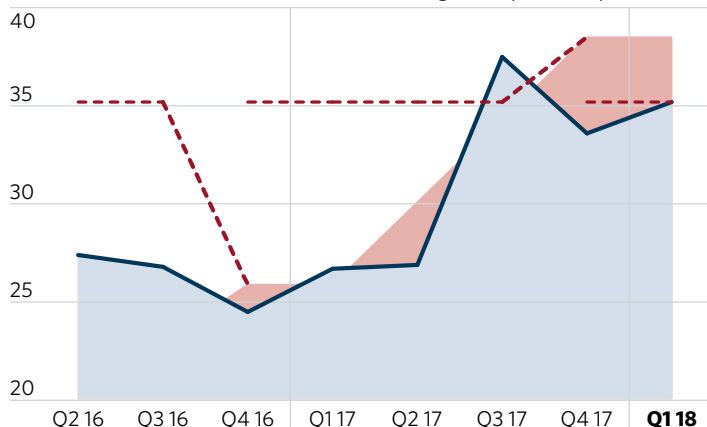
DEBT/EQUITY

--- Debt/Tangible Equity Change from previous quarter: **DOWN**▼



DEBT/ASSETS

--- Debt/Tangible Assets Change from previous quarter: **UP**▲



CASH

\$ IN MILLIONS

Change from previous quarter: **DOWN**▼



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OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**

VALUATION: MOST RISK

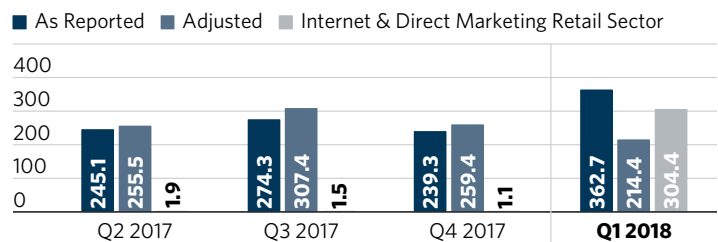
An unfavorable valuation (a MEDIUM RISK or MOST RISK rating) implies higher potential downward price risk that is evidenced by a company price multiple that is higher than the corresponding sector average. The valuation rating is based on both absolute and relative levels at AMAZON.COM INC compared to its peers within its sector based on price to earnings (PE), price to earnings growth (PEG), price to sales (PS), and price to cash flow (PCF).

The valuation rating for AMZN remains a MOST RISK as the PEG, price to sales, and price to cash flow ratios became more attractive over the last quarter while the price to earnings ratio became less attractive.

Even though AMZN's PEG ratio relative to the sector average PEG improved from 11.82X to 10.63X during the last quarter, the decline in the PE ratio relative to the sector average PE offset this by deteriorating from 1.13X to 1.19X.

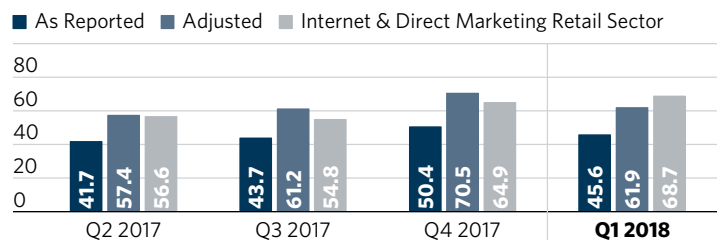
PRICE/EARNINGS

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Earnings	168.70	362.70	227.83
Adjusted Price/Earnings	166.50	307.40	214.79
Sector Price/Earnings	149.70	304.40	199.51



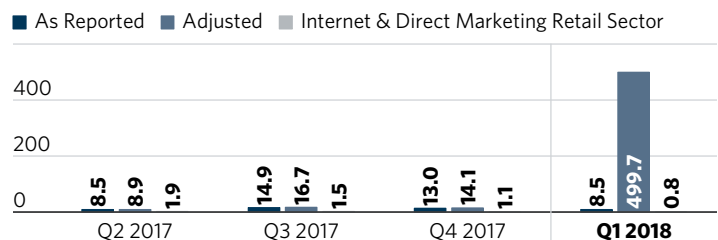
PRICE/CASH FLOW

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Cash Flow	38.40	50.40	42.20
Adjusted Price/Cash Flow	49.20	70.50	57.34
Sector Price/Cash Flow	49.10	68.70	57.81



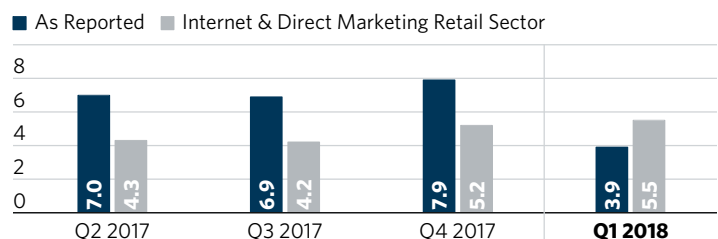
PRICE/EARNINGS GROWTH

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Earnings Growth	0.30	14.90	6.74
Adjusted Price/Earnings Growth	0.30	499.70	77.39
Sector Price/Earnings Growth	-9.60	21.30	3.26



PRICE/SALES

LAST 2 YEARS	RANGE		AVERAGE
	LOW	HIGH	
Reported Price/Sales	3.90	7.90	6.60
Sector Price/Sales	3.80	5.50	4.41



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OVERALL RATING FOR 1ST QUARTER 2018 **HOLD**
PEER VALUATION COMPARISON

TICKER	COMPANY	MARKET CAP.	PRICE ON 05/30/18	PRICE/ EARNINGS	PRICE/ SALES	PRICE/ CASH FLOW	PRICE/ EARNINGS GROWTH	VALUATION RATING
AMZN	AMAZON.COM INC	\$788.4 B	\$1,624.90	362.7	3.9	45.6	8.5	MOST RISK
NFLX	NETFLIX INC	\$153.7 B	\$353.50	228.1	10.6	181.9	2.3	MOST RISK
CTRP	CTRP.COM INTL LTD -ADR	\$24.6 B	\$45.10	9.1	5.1	NA	0.0	LOW RISK
EXPE	EXPEDIA GROUP INC	\$16.2 B	\$118.00	54.9	1.7	13.9	NA	LEAST RISK
TRIP	TRIPADVISOR INC	\$6.3 B	\$50.80	-267.1	3.3	61.4	NA	LOW RISK
W	WAYFAIR INC	\$5.5 B	\$94.60	-28.1	1.1	-27.1	-0.8	LEAST RISK
SFLY	SHUTTERFLY INC	\$3.1 B	\$93.80	88.5	2.2	19.5	0.6	LEAST RISK
INTERNET & DIRECT MARKETING RETAIL SECTOR		\$50.3 B	—	304.4	5.5	68.7	0.8	—

PEER OPERATING COMPARISON

TICKER	COMPANY	MARKET CAP.	GROSS MARGIN (%)	EBIT MARGIN (%)	NET MARGIN (%)	ROIC (%)	CASH CONVERSION CYCLE (DAYS)	OPERATING EFFICIENCY RATING
AMZN	AMAZON.COM INC	\$788.4 B	47.0	3.9	3.2	7.1	-33.0	LOW RISK
NFLX	NETFLIX INC	\$153.7 B	41.2	12.1	7.8	7.7	0.0	LEAST RISK
CTRP	CTRP.COM INTL LTD -ADR	\$24.6 B	81.5	8.8	15.7	2.8	0.0	LOW RISK
EXPE	EXPEDIA GROUP INC	\$16.2 B	81.7	-6.5	-5.5	3.4	0.0	MOST RISK
TRIP	TRIPADVISOR INC	\$6.3 B	94.7	6.1	1.3	-1.7	0.0	MOST RISK
W	WAYFAIR INC	\$5.5 B	24.9	-7.3	-7.7	-111.6	-33.0	MEDIUM RISK
SFLY	SHUTTERFLY INC	\$3.1 B	44.6	-14.8	-13.6	4.8	0.0	MOST RISK

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DEFINITIONS

Adjusted Net Income: Adjusted Net Income is a company's reported net income less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing earnings.

Accruals – Forecasted and Actual: The comparison of forecasted and actual accruals identifies a discretionary build not attributable to a company's sales growth, and could be a sign of poor earnings quality. For our purposes, the forecasted accrual component is an aggregate measurement of total accruals (short-term balance sheet accounts) that distinguishes between "normalized" and "extraordinary" accruals. The normalized accruals are based on historical relationships between sales and accruals and are dynamically adjusted over time to account for changes in the ratio between these two variables. Normally, short term accruals will grow as sales grow – i.e., the "normalized" measure. Discretionary accruals are the portion of accruals that are in excess of the base factor and therefore exceed the normal and are "extraordinary".

Adjusted Operating Cash Flow: Adjusted Operating Cash Flow is reported operating cash flow less adjustments for one-time and non-operating items yielding a more realistic picture of a company's ongoing cash flow from operations.

Adjusted Free Cash Flow: Adjusted Free Cash Flow is reported operating cash flow less adjustments for one-time, non-operating items and capital expenditures. This provides a more realistic picture of a company's ongoing cash generation from operations after capital investments.

Flow Ratio: The Flow Ratio is a measurement of management's effectiveness in managing its working capital to maximize the company's cash flows. The measure is a ratio of a company's non-cash current assets to its non-interest bearing short-term liabilities. – These non-cash assets include items such as accounts receivable (which are essentially interest-free loans to customers) and inventory (which is subject to obsolescence or spoilage). The non-interest bearing liabilities are essentially interest-free loans to the company. A lower ratio implies tighter cash management for a company as it has less cash tied up in non-cash current assets and is able to utilize interest free loans from suppliers.

Cash Flow Return on Investment: Cash Flow ROI is a measure of a company's ability to generate operating cash flow from its invested capital. Many analysts consider this measure preferable to an earnings return measure such as ROE since cash flow is considered a more reliable measure.

Adjusted Cash Flow Return on Investment: Adjusted Cash Flow ROI is a measure of the ability to generate operating cash flow from its investment in capital calculated using a company's adjusted cash flow.

Debt Coverage: Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated from continuing operations.

Adjusted Debt Coverage: Adjusted Debt Coverage is a measure of a company's ability to cover its debt obligations with cash flow it generated from continuing operations, calculated using a company's adjusted cash flow.

Adjusted Return on Invested Capital: Adjusted ROIC assesses a company's efficiency at allocating the capital to profitable investments using a company's adjusted net income (see above) yielding a measure of how well a company is using its capital to generate returns.

Adjusted EBIT Margin: Adjusted EBIT Margin is a measure of a company's earnings before interest and income taxes less adjustments for one-time and non-operating items divided by a company's sales.

Adjusted Net Margin: Adjusted Net Margin is a measure of a company's net income less adjustments for one-time and non-operating items divided by a company's sales.

Return on Incremental Invested Capital: ROIC measures the relationship between incremental investment and incremental net operating profit after tax. This provides a measure of the returns a company is earning on recent investments rather than all investments as measured by ROIC.

Cash Conversion Cycle: The Cash Conversion Cycle measures the number of days working capital is tied up from the date of purchase of raw materials until the collection of cash from the sale of the product.

Debt to Tangible Equity: Debt to Tangible Equity is a ratio of a company's debt to equity less adjustments for goodwill and other intangible assets yielding tangible equity.

Debt to Tangible Assets: Debt to Tangible Assets is a ratio of a company's debt to total assets less adjustments for goodwill and other intangible assets.

Price/Adjusted Earnings: Adjusted Price/Earnings is a relative valuation measure comparing a company's share price to its adjusted net income.

Price/Adjusted Cash Flow: Adjusted Price/Cash Flow is a relative valuation measure comparing a company's share price to its adjusted cash flow.

Price/Adjusted Earnings Growth: Adjusted Price/Earnings Growth is a relative valuation measure comparing a company's share price to its growth in adjusted earnings.

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ABOUT THE FINANCIAL SONAR™ REPORT & METHODOLOGY

The Jefferson Financial Sonar™ ratings system classifies companies into three categories: Buy, Hold and Sell. The Financial Sonar rating is the result of a point scoring system derived from the five main criteria. The more negative the rating, the more likely the overall rating will be a Sell. More positive criteria will support an Overall Rating of Buy.

Jefferson Research & Management has developed the Financial Sonar™ Rating System which is based upon five analytical criteria: Earnings Quality, Cash Flow, Operating Efficiency, Balance Sheet, and Valuation. The first four criteria are rated in one of four categories (best to worst): Strongest, Strong, Weak, Weakest. Valuation is also rated in one of four categories (best to worst): Least Risk, Low Risk, Medium Risk, Most Risk.

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